

According to the report of World Bank, in the question period more than 50 percent of poor people were living in these four States of the country: Bihar, Uttar Pradesh, Madhya Pradesh and Odisha. As per the estimates of 2011-12 (Tendulkar methodology), the five States with the highest poor population in descending order are as follows : 1. Uttar Pradesh (598.19 lakh), 2. Bihar (358.15 lakh), 3. Madhya Pradesh (234.06 lakh), 4. Maharashtra (197.92 lakh), and 5. West Bengal (184.98 lakh).

3. Relative poverty means-

- (a) Bankruptcy
- (b) Trade cycles
- (c) Minimum necessities of life
- (d) Economic inequalities

45th B.P.S.C. (Pre) 2001-02

Ans. (d)

Relative poverty clarifies how much disparity exists between different income groups. Mainly two methods are used for the measurement of relative poverty-

- (i) Lorenz curve method and
- (ii) Gini coefficient

4. Inequality of income is measured by

- (a) Engel ratio
- (b) Giffen ratio
- (c) Gini-Lorenz ratio
- (d) Gossen ratio
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (c)

The distribution of Income in an economy is represented by the Lorenz Curve and the degree of income inequality is measured through the Gini Coefficient. One of the five major and common macroeconomic goals of a government is the equitable (fair) distribution of income. The Gini Coefficient, which is derived from the Lorenz Curve, can be used as an indicator of economic development in a country. Gini coefficient is a typical measure of income inequality. The coefficient varies between 0 and 1, with 0 representing perfect equality and 1 perfect inequality.

5. For Bihar, in 1993-94, the Planning Commission estimated that percentage of below poverty line (BPL) was :

- (a) 55
- (b) 65
- (c) 45
- (d) 35

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (a)

Percentage of population below the poverty line (poverty ratio) in the given States are as follows :

State	Poverty Ratio (%)	
	1993-94	2011-12
Punjab	11.77%	8.26%
Bihar	54.96%	33.74%
Uttar Pradesh	40.85%	29.43%
Rajasthan	27.41%	14.71%

Hence, option (a) was corrected answer.

6. Who among the following has given the idea of Self-Help Groups as an effective tool for poverty alleviation?

- (a) Amartya Sen
- (b) Md. Yunus
- (c) S. Chakravarti
- (d) Venkaiah Naidu
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (b)

Md. Yunus is a Bangladeshi social entrepreneur, banker, economist, and civil society leader who was awarded the Nobel Peace Prize (2006) for founding the '**Grameen Bank**' and pioneering the concepts of micro credit and microfinance. He has given the idea of **Self-Help Groups** (SHGs) and microfinance as an effective tool for poverty alleviation. Md. Yunus changed the lives of millions of Bangladeshis by creating the concept of micro loans. To ensure repayment, the Grameen Bank started a system of SHGs called '**solidarity groups**'. These small informal groups apply together for loans and its members act as co-guarantors of repayment and support one another's effort at economic self-advancement.

C. EXTERNAL SECTOR

International Trade

1. The Government of India announced a new scheme 'NIRVIK' in the Budget for 2020-21. Which of the following sectors of economy will take the benefit from this scheme?

- (a) Agricultural sector
- (b) Industrial sector
- (c) Health sector
- (d) Export sector
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (d)

In the Union Budget 2020-21, the Finance Minister Nirmala Sitharaman announced 'NIRVIK' (Niryat Rin Vikas Yojna, Scheme to provide enhanced insurance cover and reduce premium for small exporters. This scheme is aimed to achieve higher export credit disbursement with simplified procedures for claim settlements.

2. Which of the following countries is India's top trading partner in 2019-20?

- (a) USA (b) China
(c) UAE (d) Saudi Arabia
(e) None of the above/More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (a)

As per the data available on the website of Ministry of Commerce, India's top trading partner in 2019-20 was USA, while China and UAE were in 2nd and 3rd place, respectively. As per Ministry of Commerce, India's top 5 trading partner in 2023-24 (April-May) are—China > USA > UAE > Russia > Saudi Arabia.

3. In which of the following years was the trade balance favourable to India :

- (a) 1970-71 and 1974-75
(b) 1972-73 and 1976-77
(c) 1972-73 and 1975-76
(d) 1971-72 and 1976-77

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

India had a favourable (positive) balance of trade only in 1972-73 (Rs. 104 crore) and 1976-77 (Rs. 68 crore). As per the Economic Survey 2021-22, India's trade balance remained negative for the entire period from 1949-50 to 2019-20 except two years 1972-73 and 1976-77, when it was positive. India's total exports are US \$ 69,759.92 million and total imports are US \$ 107,180.45 million for the year 2023-24 (April-May).

4. The trade balance of India (merchandise and services) for December 2022 (provisional) is

- (a) (-) 11.98 USD billion
(b) (-) 10.50 USD billion
(c) (+) 11.98 USD billion
(d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (a)

Trade export of India (merchandise and services) for December 2022 was 61.82 USD billion while trade import of India (merchandise and services) for same period was 73.80 USD billion. Hence trade balance of India (merchandise and services) comes out to be (-) 11.98 USD billion for the period.

5. India's largest trading partner at present is-

- (a) Russia (b) Britain
(c) Australia (d) U.S.A.

Ans. (d) 45th B.P.S.C. (Pre) 2001-02

According to the Economic Survey, 2021-22 also, option (d) is the correct answer in the given countries. As per Ministry of Commerce India's largest trading partner in the year 2023-24 (April 2023-February 2024) is as follows—

India top 15 trade partners for 2023-24 (Apr 2023-Feb 2024 (Value in US\$ million)

Rank	Country/Region	Export	Import
1	China	15,102.42	93,997.58
2	USA	70,000.96	37,637.14
3	United Arab Emirates	31,618.56	43,129.60
4	Russia	3,820.24	55,591.65
5	Saudi Arabia	10,365.97	29,127.47
6	Singapore	12,822.40	19,614.52
7	Iraq	3,007.01	26,664.61
8	Indonesia	5,576.05	21,478.16
9	Hong Kong	7,743.86	18,479.46
10	Republic of Korea	5,899.10	19,471.66
11	Netherland	20,258.00	4,588.86
12	Germany	8,856.10	14,944.24
13	Australia	7,470.84	14,948.38
14	Switzerland	1,236.59	20,460.29
15	Japan	4,684.08	15,984.85

At present the top trading partners of India in terms of combined share (in percentage) of imports and exports in the year 2023-24 are the China and USA (As per GTRI) respectively.

6. India's share in meat and meat preparation exports in the year 2017 was :

- (a) 5% (b) 6%
(c) 2% (d) 3%
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (d)

The share of India in the export of meat and meat preparations was 3.0 percent in the year 2017. According to the Economic Survey 2022-23, India's share of meat and meat preparations exports is 2.0 percent in the year 2020.

7. India earns maximum foreign exchange by the export of :

- (a) Iron (b) Tea
- (c) Textile (d) Rubber

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

Among the given options, India earns maximum foreign exchange by the export of textiles. As per the data of Ministry of Commerce and Industry, India earns maximum foreign exchange by the export of Textile in the year 2021-22. During financial year 2023-24 India earns maximum foreign exchange by the export of petroleum products.

8. Globalization does not include :

- (a) reduction in import duties
- (b) abolition of import licensing
- (c) free flow of FDI
- (d) disinvestment of Public Sector Equity
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

Globalization of economy include reduction in import duties, abolition of import licensing and free flow of FDI while it does not include disinvestment of Public Sector Equity which is a major step towards privatization and liberalization of the economy.

9. Which group was permitted at Nandigram area under the SEZ policy :

- (a) Tata group (b) Birla group
- (c) Salim group (d) Wipro group

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

Nandigram is a rural area in Purba Medinipur district of West Bengal. In 2007 the West Bengal Government decided to allow Salim Group to set up a chemical hub at Nandigram under the SEZ policy, which was heavily protested by the villagers.

10. What is the full form of EPCG?

- (a) Export Promotion Consumer Goods
- (b) Exchange Programme for Consumer Goods

- (c) Export Promotion Capital Goods
- (d) Expert Programme for Credit Generation
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (c)

The full form of EPCG is 'Export Promotion Capital Goods'. EPCG scheme helps in facilitating the import of capital goods for manufacturing quality goods and to augment the competitiveness of India's export. This scheme enables the import of capital goods that are used in the pre-production, production, and post-production without the payment of customs duty. However, the scheme is subject to an export value equivalent to 6 times of duty saved on the importation of such capital goods within 6 years from the date of issuance of the authorization.

Note : EPCG was first operationalized on 1 April 2015.

11. Which of the following exchange rate systems is followed in India?

- (a) Fixed exchange rate with gold standard
- (b) Fixed but adjustable exchange rate
- (c) Managed/Dirt float
- (d) Free float
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (c)

Managed Floating Exchange rate, also known as Dirt float exchange rate system is followed in India. These exchange rate lies between of the two extremes of fixed and floating exchange rate. Under such a system, the exchange is allowed to move freely and determined by the force of the market (Demand and supply). But when a difficult situation arises, the central bank of the country can intervene to stabilise the exchange rate.

12. How many Export Processing Zones are there in India?

- (a) 5 (b) 6
- (c) 7 (d) 8

40th B.P.S.C. (Pre) 1995

Ans. (c)

Till the year 1995, there were altogether 7 export processing zones in India namely Kandla, Mumbai, Noida, Falta, Cochin, Chennai and Visakhapatnam. Later in the year 1997, Export Processing Zone was also established in Surat. At present all the 8 EPZs have been converted as Special Economic Zones (SEZ).